ZALOPAY BNPL · CREDIT ENABLEMENT · RETENTION & GROWTH REVIEW · JAN 2024 – JUN 2025 · 18,000 USERS · FIGURES AS OF JUN 2025

BNPL isn't losing users faster. It's finding fewer of them.

Churn has stayed at ~1 in 4 active users a month (23.5–26.3% every month since Feb 2024). What changed is the top of the funnel: new users (first BNPL purchase) fell 56% and still fall ~5% a month. Retention work can slow the decline, but reversing it through retention alone needs churn below 20% across the whole base, the level of our most frequent buyers. Restoring inflow is the bigger lever.

Active users, Jun 2025	New users, Jun 2025	Monthly churn	Users who came back
3,019	**596**	**24.9%**	**0**
–27% vs Jul–Oct 2024	–56% vs Q1 2024	23.5–26.3% since Feb 2024	of 14,231 lapsed

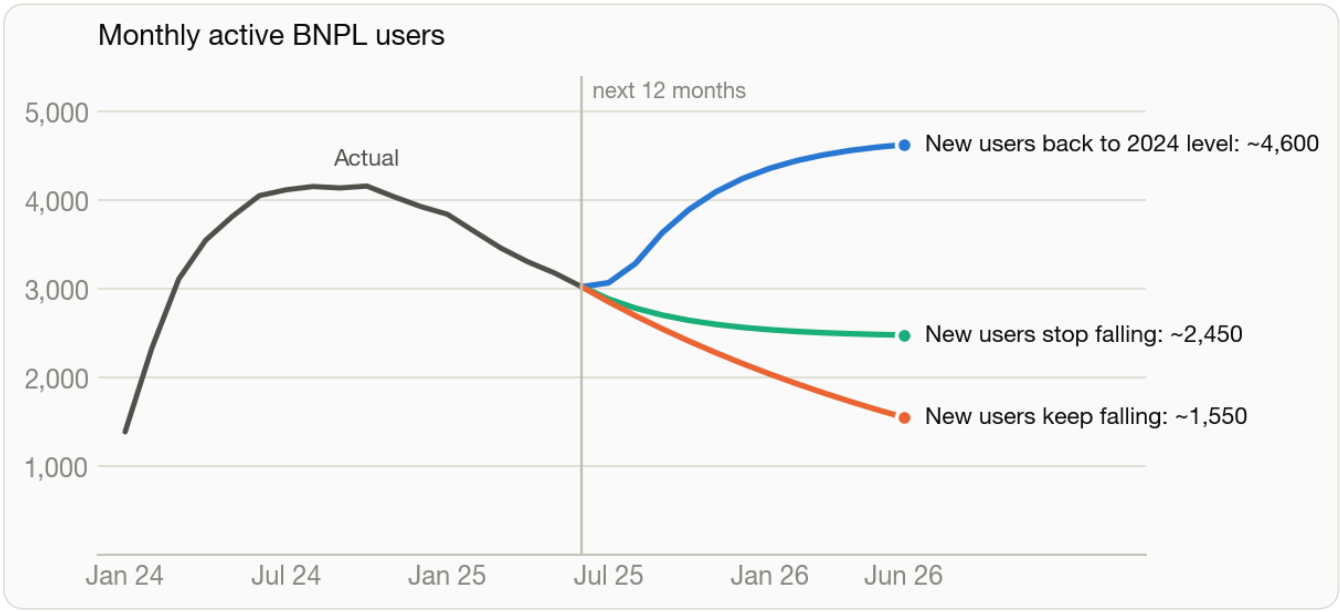


Figure 1. By Jun 2026 the base depends almost entirely on new users: ~1,550 if inflow keeps falling, ~2,450 if it stops falling, ~4,600 back at the 2024 level (scenarios from Jun 2025, not forecasts).

The brief, answered in one line each

Question	Short answer	Detail
Q1a	Retained in M*k* = at least one BNPL purchase in the *k*-th calendar month after the first-purchase month.	Ch. 2
Q1b	Every cohort follows the same curve (73% at M1, 4% at M12, ~25% churn a month, no floor, nobody returns). The anomaly is that cohorts shrink 4.7% a month, so the decline comes from fewer new users; which funnel step shrank is still open.	Ch. 1, 2
Q1c	True in direction, false as a threshold: any N from 2 to 8 gives the same gap. The "N = 4" comes from 104 suspect rows. Use the 2nd purchase as the milestone.	Ch. 3
Option A	Churners are users who usually buy rarely. No detectable difference on ticket, limit or category, and they stop without slowing down first. Act on mid-month silence and reward frequency, both as holdout tests.	Ch. 4, 5
Option B	The strongest growth pattern is new-user inflow: +100 new users a month add as much GMV as every light user churning like a heavy user, and 2024 inflow = +63% GMV.	Ch. 6
Part 3	One page for the Business Lead: what is happening, why, what to do next.	Separate PDF
Bonus	Several fields look simulated: balance, limit, ticket, category and timing follow simple rules. Use them for data fixes, not credit or targeting decisions.	Ch. 8

What to do

1. **Find where new users dropped and fix it** (Growth + Risk): reach, approval or first use; this data can't tell which. This is the biggest lever: ~+2,150 active users by Jun 2026. About 730 new users a month holds the Jun 2025 base.
2. **Test a mid-month reminder** to eligible users still silent on day 15 (CRM). 61% of them buy nothing more that month; the test reads out in 1–3 months.
3. **Then test a second-purchase nudge and frequency rewards** (Product + CRM). Both help at the margin; prove them with a holdout before scaling.

Decision needed: a two-week review of the acquisition funnel, and approval to run the reminder test.

CHAPTER 1 Q1b · the main anomaly

The base shrinks because fewer users arrive, not because more leave

BOTTOM LINE

Active users are down 27% since the Jul–Oct 2024 plateau, and GMV −23% from its Nov 2024 peak. Over the same period churn stayed within 23.5–26.3% while new users fell 56%. From May to Jun 2025 we lost ~750 active users and gained ~600, so the base keeps shrinking.

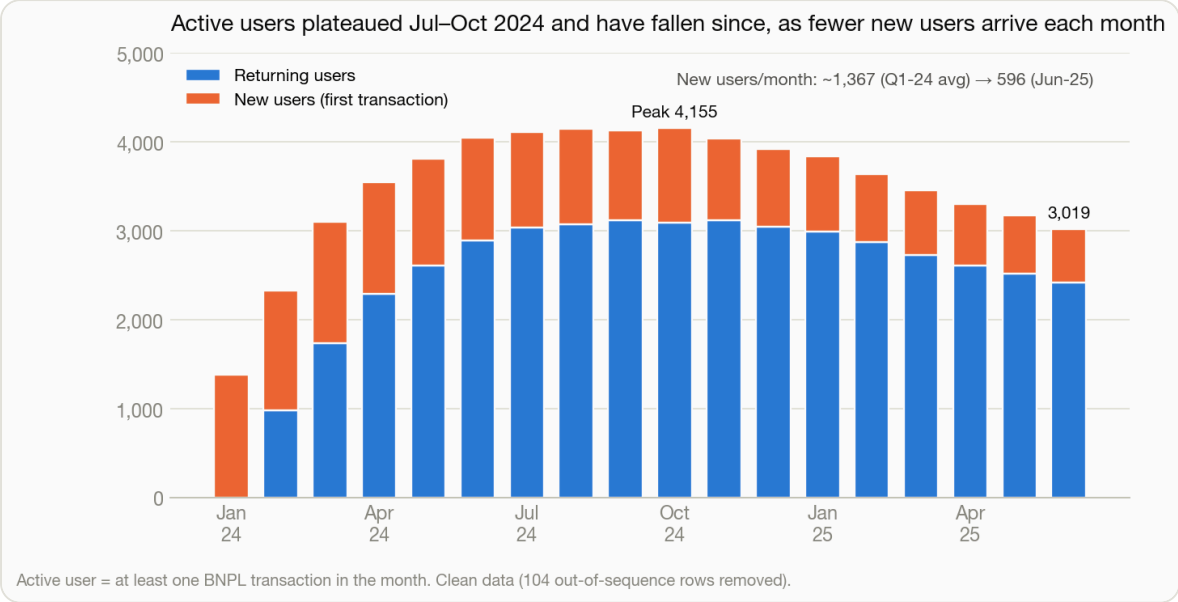


Figure 2. Returning users (blue) stopped growing once new users (orange) began to shrink.

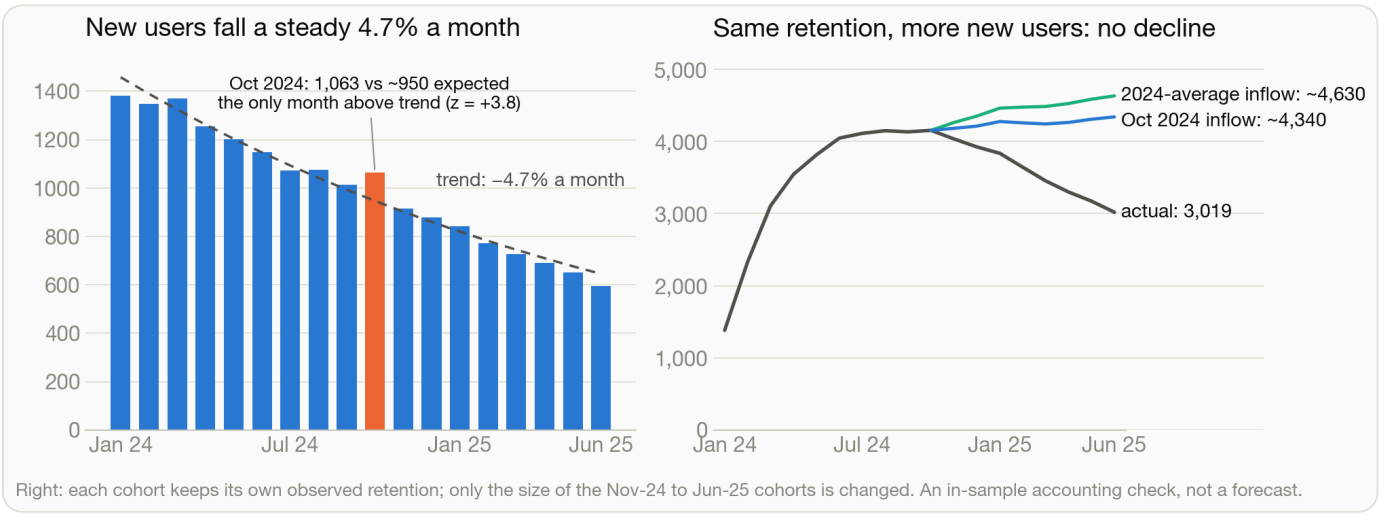


Figure 3. Left: a smooth 4.7% monthly decline; Oct 2024 is the only real event. Right: with more new users and the same retention, there is no decline.

> **Why it matters:** the replay keeps every cohort's own retention and changes only how many users it started with. Even at October 2024's inflow, June MAU would be ~4,340 instead of 3,019. Fewer new users account for the decline; which funnel step shrank is the next question.

- **New users look the same early on:** same limits, first ticket and category mix; 3.53 vs 3.65 purchases in the first 30 days (Q1 2024 vs Q1 2025). The data shows how many arrive changed, not their early activity; repayment quality is not in the file.
- **Hypothesis:** fewer users reached or approved (eligibility lists, marketing budget, partner traffic). The test is the funnel by channel: eligible → invited → approved → first purchase.
- **Ask about Oct 2024:** it is the only month above trend (1,063 new users vs ~950 expected), so it may show what works.
- **Caveat:** the file may be a sample. Reconcile the −56% with the official dashboard before escalating.

CHAPTER 2 Q1a + Q1b

Every cohort leaks about a quarter of its users a month, with no floor

ANSWER TO Q1A: HOW I DEFINE RETENTION

A user is **retained in M*k*** if they make at least one BNPL purchase in the *k*-th calendar month after their first-purchase month (their cohort).

Why a purchase

BNPL earns only when the credit line is used, and purchases are the only behaviour in the file. In production I would add "account in good standing".

Why monthly

It matches the billing cycle (spend → statement → repay). The median active user buys 3 times a month, so weekly would flag normal gaps as churn and quarterly would react too late.

Why calendar months

They match statements and reporting. In this file the first month behaves like a full month (3.23 purchases in M0 vs 3.22 in M1 for the same users), so I don't adjust for join day here. In production, where sign-up dates exist, I would measure early milestones in days since first purchase, as the tests in Chapter 7 do.

Tracked alongside

GMV retention (value) and monthly churn (active in month *t*, no purchase in *t+1*).

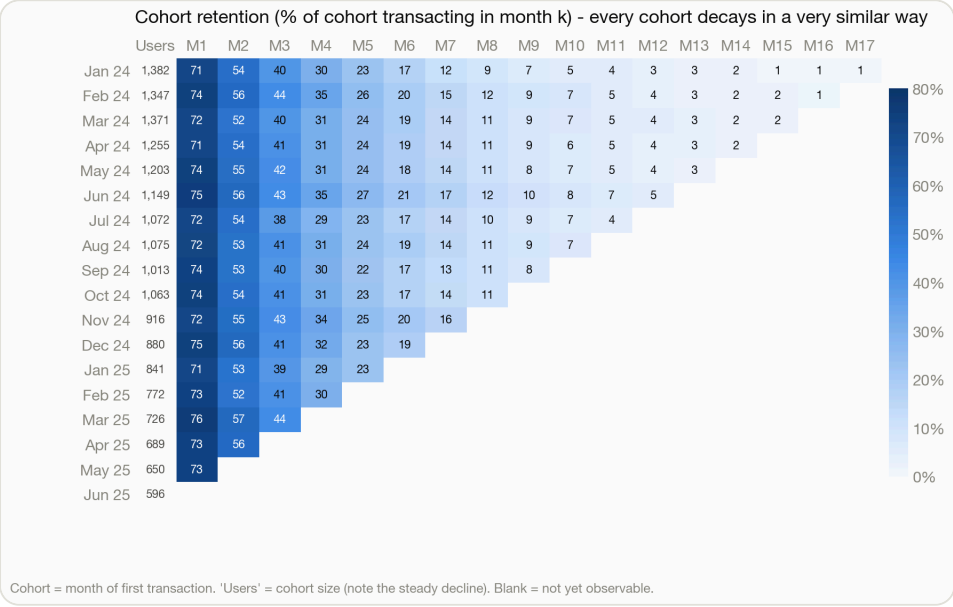


Figure 4. Columns barely change across 17 cohorts (M1 71.1–75.6%, p = 0.51); only cohort size changes.

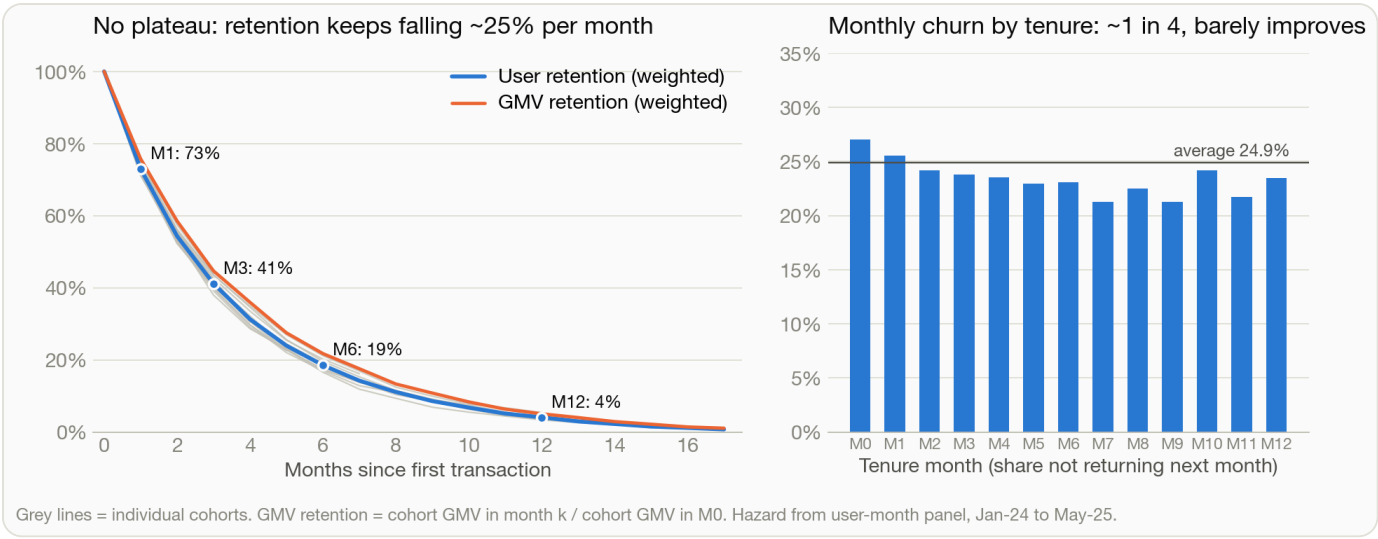


Figure 5. 73% → 41% → 19% → 4% at M1/M3/M6/M12, and churn barely improves with tenure.

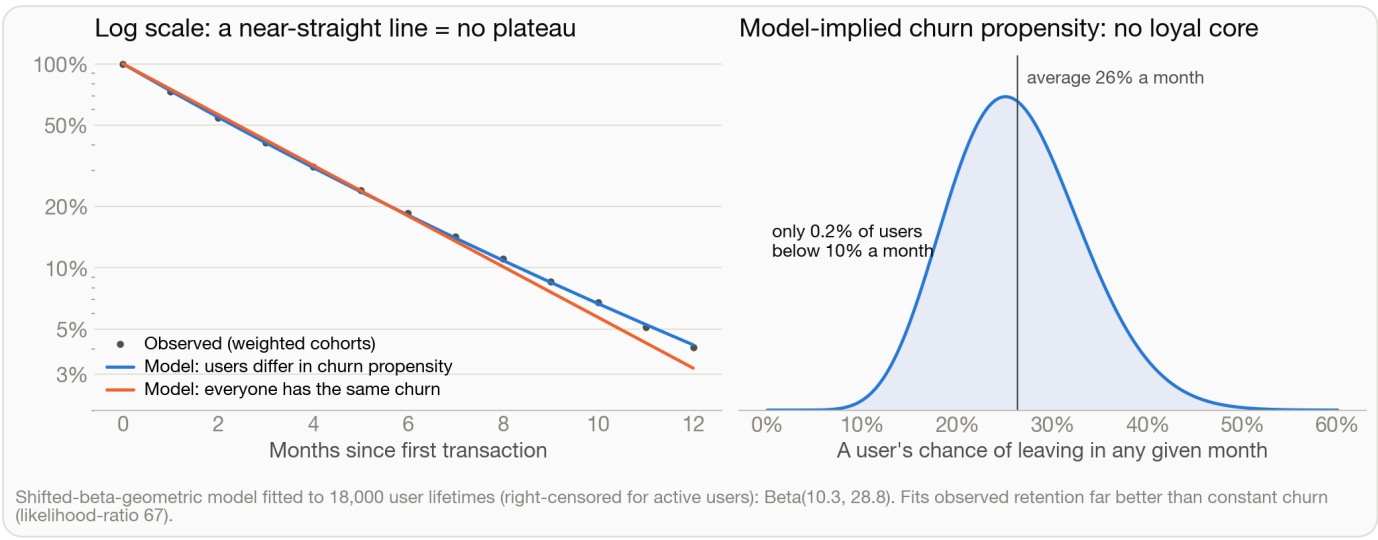


Figure 6. No plateau through M12. A survival model fitted to these curves puts only 0.2% below 10% a month, so there is no sign of a loyal core (model-based, not observed).

ANSWER TO Q1B: WHAT THE COHORTS SHOW

Patterns

Stable: every cohort follows the same curve, so retention is not what broke. **No plateau:** ~1 in 4 active users leaves every month at every tenure; retention halves every ~2.4 months and the average user stays 4 months. **Survivors are heavier but nobody grows:** light users leave first, and a user's own frequency is flat over time.

Anomalies

Shrinking cohorts (–4.7% a month, Chapter 1). **Nobody returns:** 0 of 14,231 lapsed users ever bought again. **The first cycle is the biggest leak:** 27% never return after M0. **104 suspect rows** distort Q1c (Chapter 3).

Hypotheses

Shrinking cohorts → fewer users reached or approved (check the funnel). Leak after M0 → friction at the first statement, or promo-driven first use (check repayment and campaign data). Zero reactivation → accounts locked after inactivity (check account status with Risk).

CHAPTER 3 Q1c

“≥ N purchases in month one”: true in direction, no threshold

ANSWER TO Q1C

Verdict

True in direction, false as a threshold. More first-month purchases go with better M1, from 69% at one purchase to 77–79% at four to eight.

Is there an N?

No. Splitting at any N from 2 to 8 gives about the same gap (+5.6 to +6.8pp). The raw file's apparent N = 4 (82.1% M1, +8.7pp) is created by the 104 suspect rows; without them, N = 4 is 77.1%, in line with N = 5–8.

What the data suggests instead

Each of the first few purchases adds a little, then the curve flattens. Use the **2nd purchase** as the onboarding milestone: 31% of new users stop at one, and 61% of new users make a second purchase by day 14, so week 2 is the window to nudge.

Caveat

This is a correlation. A nudge will likely move M1 by less than the observed gap, possibly not at all, so measure it with a holdout test (Chapter 7).

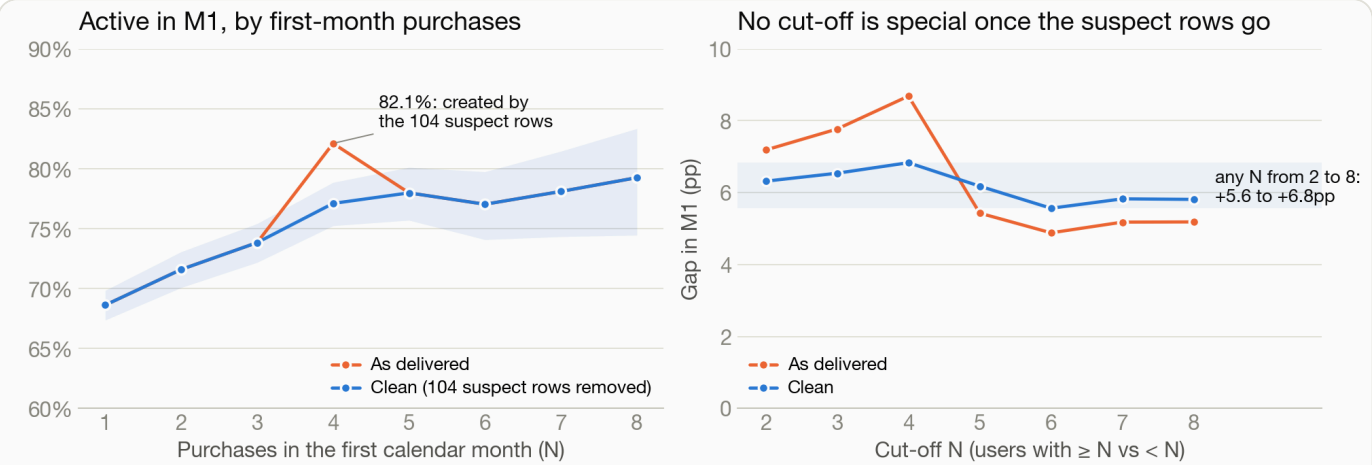


Figure 7. Left: the spike at N = 4 exists only with the suspect rows. Right: once they go, every cut-off gives about the same gap.

> **How I found it:** users with exactly 4 purchases (82.1%) retained better than users with 5–8 (77.9%, p = 0.0003), and engagement doesn't peak and fall back. The extra retention traced to 104 rows at the end of the ID sequence, each giving a "4 purchases, no M1" user one M1 purchase.

- **Value of early frequency:** users with 5+ first-month purchases generate 4.04M vs 1.08M VND over 12 months, mostly because they keep buying more often.
- **For the stakeholder:** a "≥4 purchases" target is no better than 3 or 5, and the data behind it should be fixed at the source.

CHAPTER 4 Part 2 · Option A (Churn)

Churners buy rarely and stop without warning, so act on timing

ANSWER TO OPTION A

Churn

Active in month *t*, no purchase in *t+1*. Nobody returns afterwards, so it is effectively final; 83% of users have churned.

Signs of churn

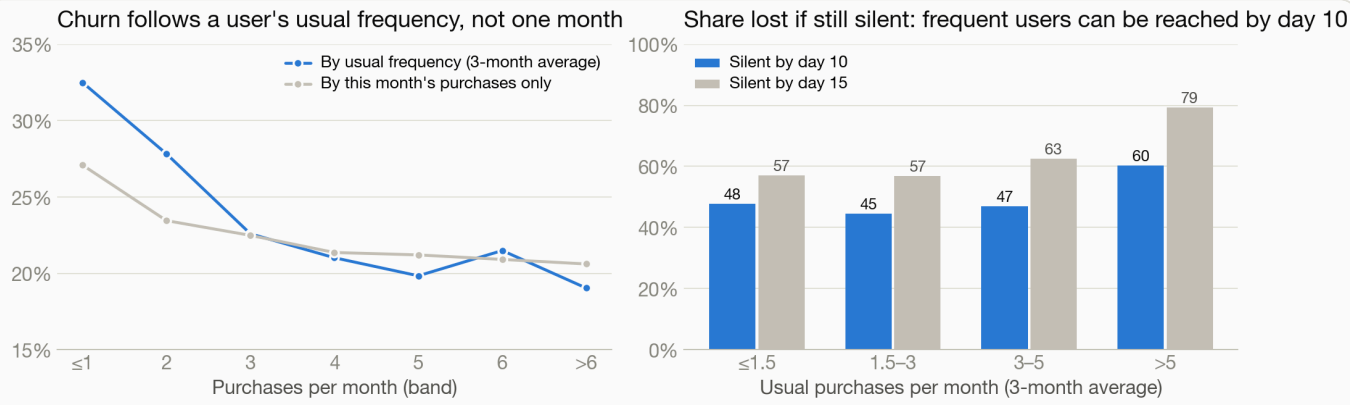
Usually buying rarely: users averaging ≤1 purchase a month over three months churn at 32.5% a month, against 19.0% for users averaging more than six. **Silence by mid-month:** 61% of last month's users still silent on day 15 make no further purchase.

How they differ

On frequency: fewer purchases, more 1-purchase months, a slower second purchase. No detectable difference in ticket, credit limit or categories. They don't fade first; they stop.

Recommendation

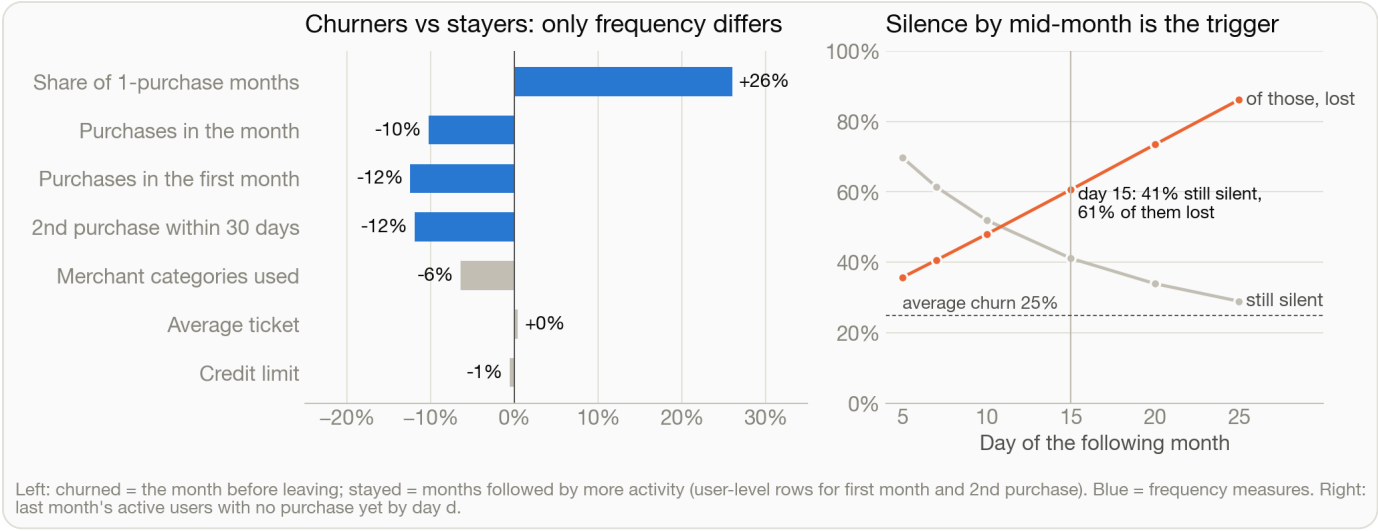
A mid-month reminder (day 10 for frequent users), frequency rewards for users who usually buy 1–3 times a month, and a week-2 second-purchase nudge. Each one as a holdout test that also tracks 60-day spend, so we know it adds purchases rather than just moving them earlier (Chapter 7).



User-months with three observed months after M0 (n = 21,798). For this month's purchases the bands are 1, 2, …, 7+. Given the 3-month average, this month's deviation adds nothing (log-odds +0.04, 95% CI -0.03 to +0.11).

Figure 8. Left: usual (3-month) frequency separates risk; one month adds nothing. Right: frequent users can be caught by day 10.

> **Why it matters:** risk is a trait, not a mood. Segment on a 3-month average, not one month. Frequent users are worth catching early: for users who usually buy 5+ times a month, silence by day 10 already means 60% are lost, and they made 29% of churners' last-month GMV.



Left: churned = the month before leaving; stayed = months followed by more activity (user-level rows for first month and 2nd purchase). Blue = frequency measures. Right: last month's active users with no purchase yet by day d.

Figure 9. Left: churners differ on frequency only, not on ticket or limit. Right: by day 15, 41% are silent and 61% of them are lost.

- **No extra signal** from limit, ticket, category or recency once frequency is controlled (all $p > 0.5$); in this file those fields follow simple rules anyway. Tenure only looks protective because light users leave first.
- **Prediction is weak:** a logistic model on purchase features scores AUC 0.56 out of time, because users don't slow down before leaving and one unusual month adds nothing. Other models may do slightly better, but the practical lever here is timing (who is still silent), not a score.
- **July 2025 watch list:** ≈ 745 of the 3,019 Jun 2025 users are expected to churn.

CHAPTER 5 Part 2 · sizing

Retention slows the decline; new users are the bigger lever

BOTTOM LINE

Holding the Jun 2025 base of ~3,000 needs ~730 new users a month (+23%), or churn below 20% across the whole base, the level of our most frequent buyers. Even if every light user churned like a heavy user, churn would be ~21%, still short.

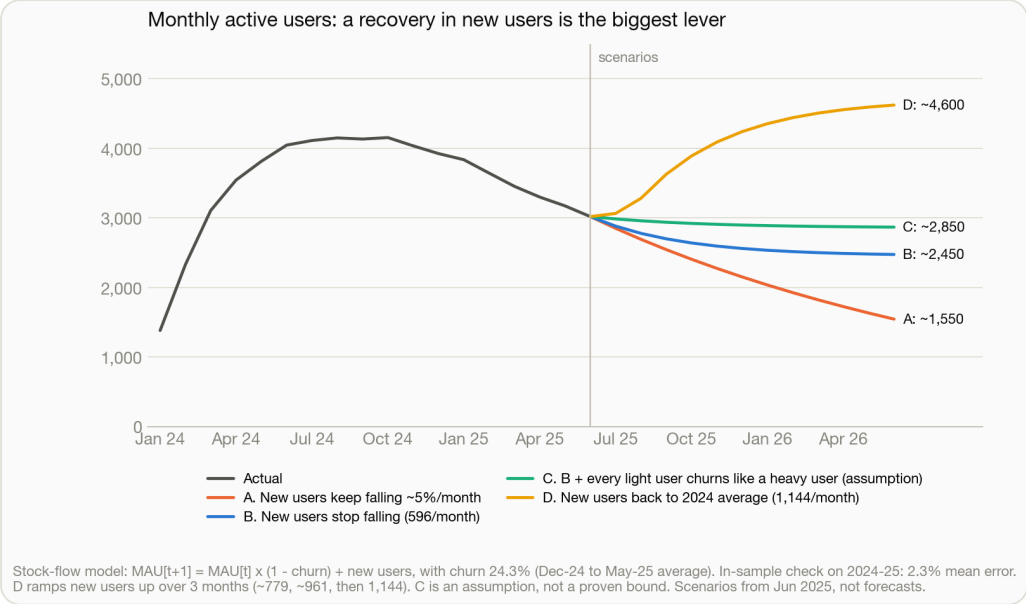


Figure 10. If every light user churned like a heavy user (C), the line only flattens; 2024 inflow (D) turns it up.

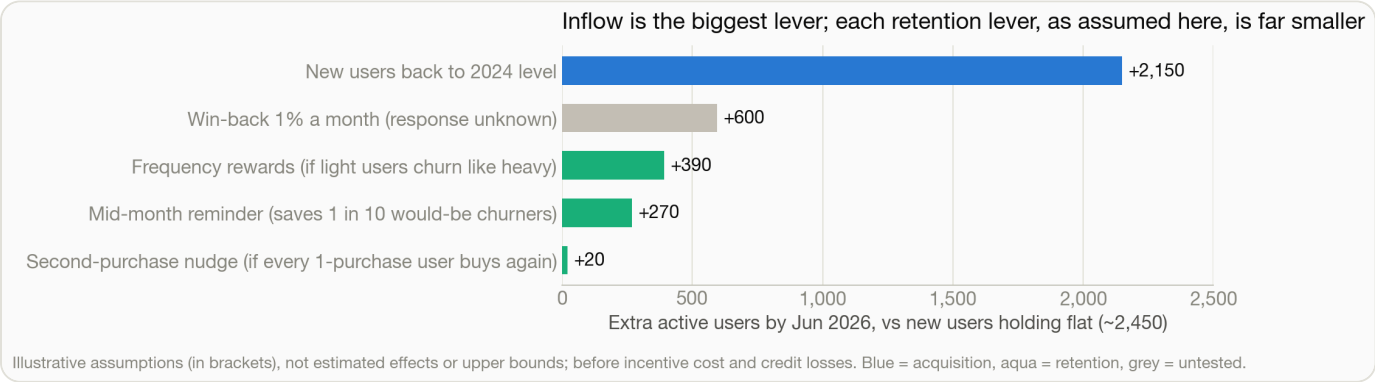


Figure 11. Restoring inflow is worth ~+2,150 users; each retention lever, under the assumption shown, is a few hundred.

> **Why it matters:** retention programmes are still worth testing because they are cheap and fast. But none of the retention levers sized here offsets a 5% monthly fall in new users, so the inflow review comes first. The second-purchase nudge, the obvious answer to Q1c, is small: only about a third of ~600 new users a month are eligible. All sizes here are assumptions; real effects must come from holdout tests (Chapter 7).

CHAPTER 6 Part 2 · Option B (Growth)

Growth has to come from restoring new-user inflow

ANSWER TO OPTION B

Strongest potential

The pattern: new-user inflow. No existing segment is growing; every one shrank from Jun 2024 to Jun 2025.

Why

In the same unit, +100 new users a month add as much monthly GMV as every light user churning like a heavy user (+11.7% vs +11.6%). Back at 2024 inflow, monthly GMV is +63%. A new user's payment volume is predictable (~1.85M VND GMV in 7 months; GMV, not revenue), and bigger cohorts have not retained worse.

Best existing segment

Medium users (2–3 purchases a month), but a small lever: upgrading 10% of them adds +1.5% GMV. Heavy users are the segment to protect.

What to do

Find the funnel step that shrank and restore ≥730 new users a month (~1,150 = 2024 level); give Finance the 1.85M VND per new user to set a cost-per-user limit net of funding cost and credit losses; monitor quality on new channels.

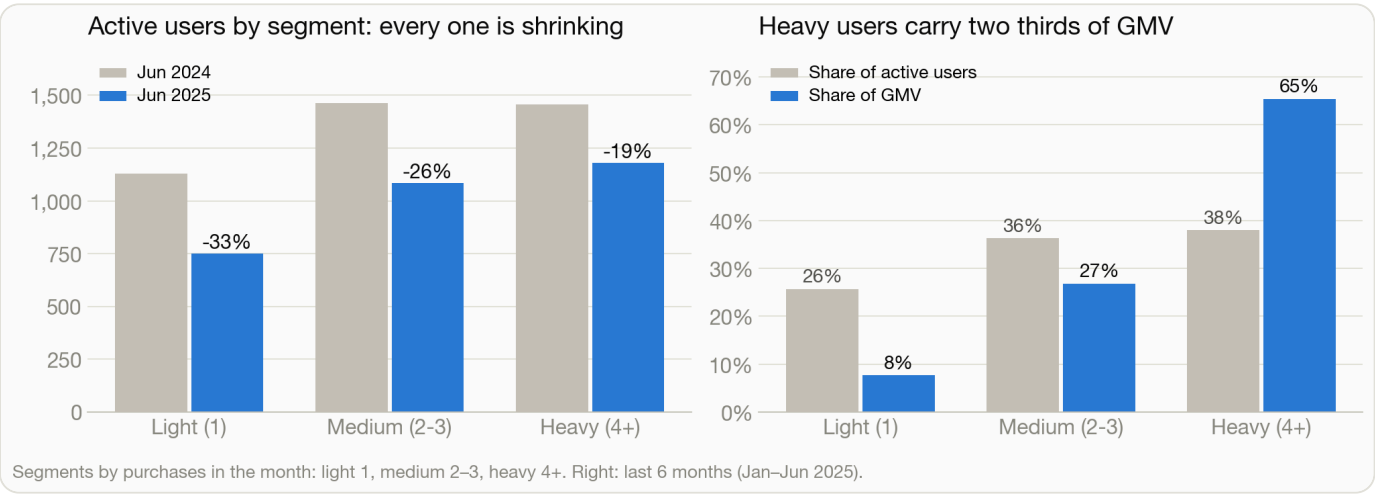


Figure 12. Every segment shrank; heavy users shrink least and carry two thirds of GMV.

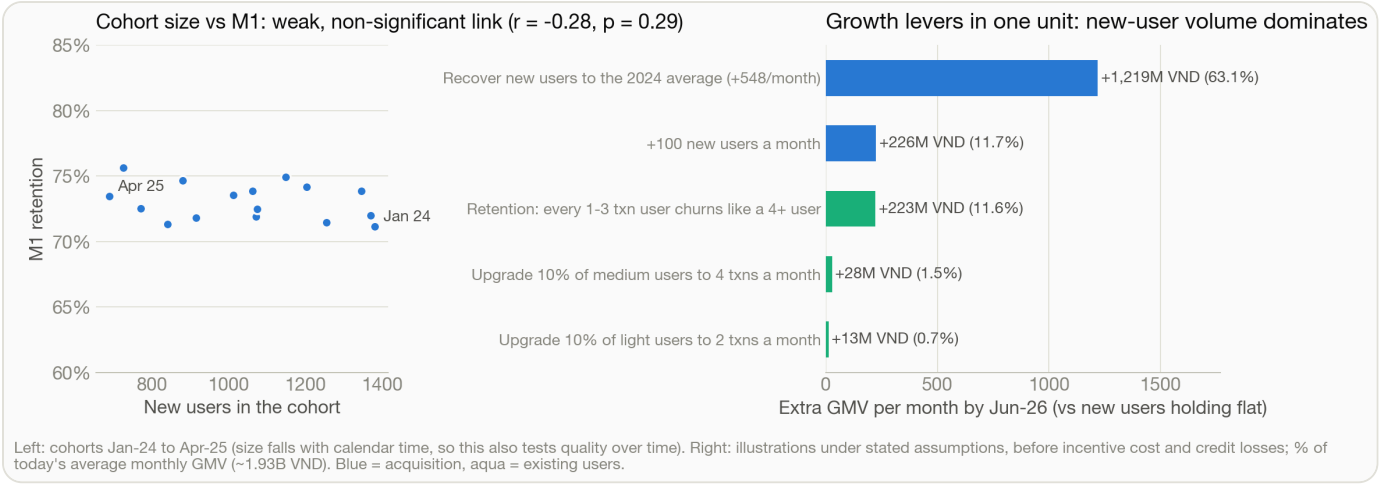


Figure 13. Right: in GMV, new-user volume dominates. Left: bigger cohorts have not retained worse (r = −0.28, p = 0.29).

> **The quality risk:** taken at face value, returning to 2024 volumes would cost about −1.3pp of M1 (95% CI −3.7 to +1.1). That is small but unproven, and past volumes say nothing about new channels. So track each new channel's cohort M1 against the historical 71–76% range (allowing for cohort size), alongside repayment and fraud data, before scaling it.

CHAPTER 7 Recommendations · Part 3

Fix inflow first; test the retention ideas in parallel

BOTTOM LINE

Start where the leverage is (inflow), run the cheap retention tests with holdouts at the same time, and fix the data before setting any target.

NEXT 2 WEEKS

- Reconcile −56% with the official dashboard.
- Find the funnel step that shrank, by channel.
- Ask Risk about locked accounts; get the real repayment ledger.

NEXT QUARTER

- **Test B**: mid-month reminder (day 10 for frequent users), eligible and consented users only.
- **Test A**: start recruiting the day-14 second-purchase nudge (4+ months, then 2 months follow-up).
- New-user value to Finance; channel monitoring.

6–12 MONTHS

- Scale what works.
- Frequency rewards, segmented on 3-month averages.
- Win-back only if Risk clears it.

	Test A: second-purchase nudge	Test B: mid-month reminder
Who / outcome	1 purchase by day 14 → active days 30–59	Silent by day 15 → buys by month end; 60-day spend as a check
Users per arm (+10 / +5pp)	357 / 1,474	387 / 1,528
Time to recruit	4 / 13 months, + 2 months follow-up	**1 / 3 months → run first**
What we learn	Whether a 2nd purchase can be caused, not just observed	Whether contact changes behaviour at all

Both tests detect only large effects (a +2pp lift needs ~9,400 users per arm), so a null result means "no large effect". Intention-to-treat, stratified, with a holdout; scale only if incremental margin beats incentive cost and credit losses.

DON'T

- Set a "≥4 purchases" target; it is no better than 3 or 5.
- Segment users on a single month; use a 3-month average.
- Take limit or risk decisions from this file's balance field.
- Read GMV per active user without MAU and new users; it rises as light users leave.

Part 3: the one-page summary for the Business Lead is **1_One_Page_Summary.pdf**. **Decision needed:** approve the two-week inflow review and Test B.

CHAPTER 8 Bonus

Several fields look simulated: know which patterns to trust

BOTTOM LINE

I checked all 8 columns. Some patterns hold up and are useful: frequency, tenure, value and inflow. Others look like a generator's rules: balances, limits, amounts, merchants and timing. That tells the business what to act on, and the data owner what to confirm.

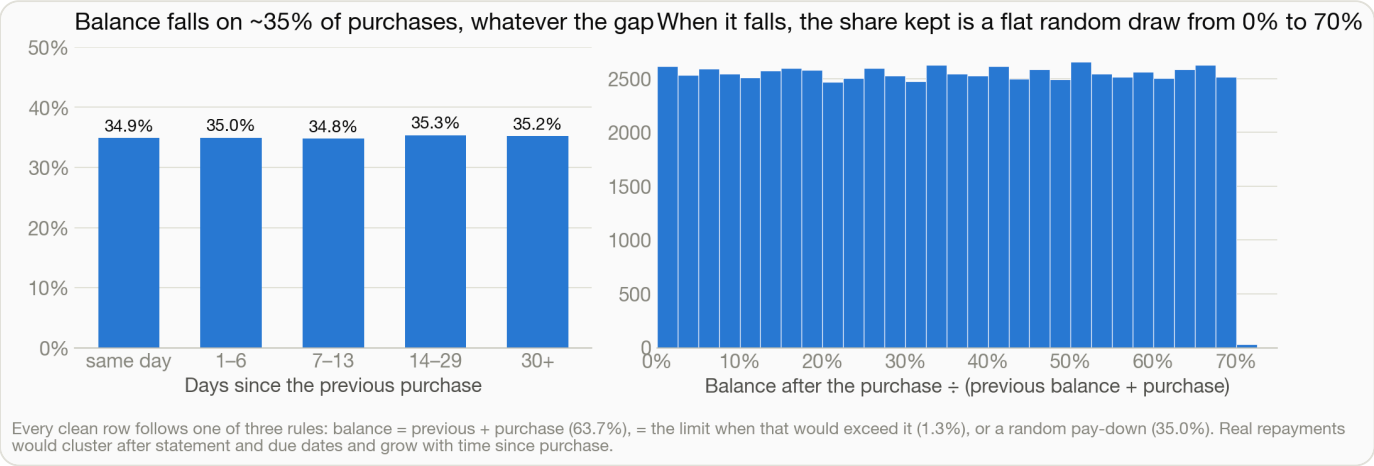


Figure 14. The balance follows a rule: +purchase (63.7%), cap at the limit (1.3%), or a random pay-down (35.0%) that ignores timing.

> **Why it matters:** real repayments cluster after statement and due dates. These don't, so utilisation, "credit-hungry" users and inferred repayment describe the generator, not customers. Get the real ledger before any credit decision.

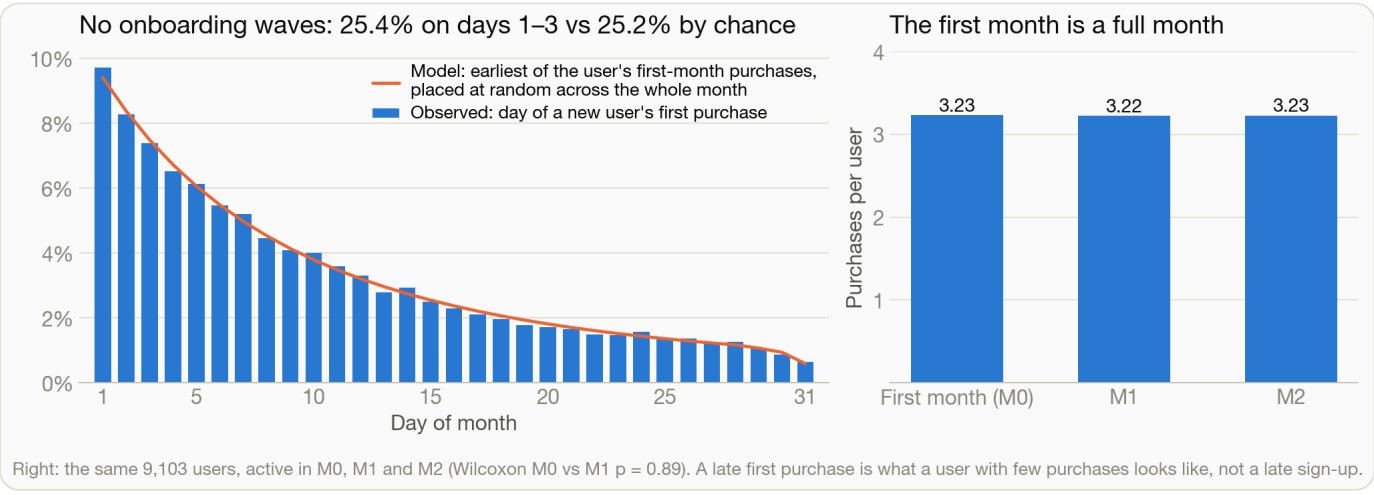


Figure 15. No onboarding waves: 25.4% of first purchases on days 1–3 vs 25.2% expected by chance; the first month is a full month.

Holds up and is useful

- **Churn risk is a stable trait:** target on 3-month averages.
- **Tenure adds nothing** once frequency is known (p = 0.90): reward frequency, not tenure.
- **Value = how often × how long;** ticket is not a user trait (p = 0.65), so there is no "big spender" segment.
- **Category choice has no memory:** 52.5% same package vs 52.6% expected. Default offers to the home category.

For the data owner

- **Credit control:** no purchase exceeds 60% of the limit, yet 4,032 went through above available headroom. Production rule or simulation rule?
- **Random draws:** limits cover 95 levels evenly; merchant volume is split evenly across 34 cells.
- **No calendar rhythm;** `transaction_id` is a row number.
- **Dropped as artefacts:** "128 credit-hungry users", "7% utilisation", "at-limit churn".

APPENDIX Data quality

Three facts about the data that change how to read it

- **18 months, not 6.** The brief mentions six months; the file holds 204,694 transactions from Jan 2024 to Jun 2025. I use all of it, because that is what makes M12 retention and the inflow trend visible.
- **104 suspect rows** (TXN00204591–694) sit outside their users' ID blocks. Each copies its balance from the user's own history (104 of 104) and adds one M1 purchase to a user with exactly 4 first-month purchases. They look artificially added and create the Q1c "N = 4" result, so I exclude them until the data owner confirms; no other result moves by more than 1pp.
- **Several fields look simulated.** Balances, amounts, limits, merchants and timing follow simple rules (Chapter 8). So the decisions here rest on the patterns that hold up in the file (inflow, retention and purchase frequency), to be confirmed on production data.

Method notes

- Clean data = 204,590 rows (104 suspect rows excluded); headlines on the delivered file agree within 1pp except Q1c's N = 4 cell (82.1% vs 77.1%).
- Retention averages use only observable cohort-months. Churn model: logistic on 60,145 user-months, out-of-time AUC 0.56.
- Scenarios: MAU[t+1] = MAU[t] × (1 – 24.3%) + new users, starting Jun 2025; an accounting identity (no user ever returns in the data), 1–2% optimistic. Lever sizes are assumptions, not estimates.
- All findings are observational; every recommendation comes with a holdout test.

All figures are computed from the provided data.csv (204,694 transactions, Jan 2024 – Jun 2025).